

NETFLIX

Key Performance

Indicators (KPIs)

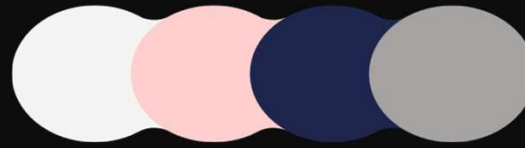
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NETFLIX

(Overview)

Netflix is a subscription-based streaming service and is one of the world's leading entertainment services with 283 million paid memberships in over 190 countries enjoying TV series, films and games across a wide variety of genres and languages. Members can play, pause and resume watching as much as they want, anytime, anywhere, and can change their plans at any time. The company's success is attributed to its strategic content creation and acquisition, which allows it to offer a diverse range of content to its users.

“TARGET OBJECTIVES”

- Enhancing Customer satisfaction and retention by improving content recommendations and user experience.
- Increasing Subscribers growth by 20% in 2 years.



CONTENT INVESTMENT RETURN (ROI)

Target : To achieve a positive ROI by maximizing revenue per title, increasing watch time, driving subscriber growth

Blue Ocean Strategy

Creating content that targets untapped markets or new viewer preferences.

MEASUREMENT

Tracking revenue is directly attributed to specific content (e.g: subscriptions gained, additional viewing hours, etc.)

IMPORTANCE

Content is Netflix primary product. Evaluating its ROI ensures the company prioritizes high-performing content that maximizes subscription and revenue.

Cost of collecting the KPI:

The cost for Content Investment Return KPI in Netflix's database is derived by aggregating content creation, acquisition, marketing, delivery, and operational expenses tied to specific titles or campaigns.

$$ROI = \frac{\text{Net Profit (or Gain from Investment)}}{\text{Cost of Investment}} \times 100$$

Where:

- **Net Profit** = Total Revenue - Total Costs
- **Cost of Investment** is the total amount spent on the investment.



Revenue per Tier

Target : Increasing subscriber retention in higher tiers.

SIX-SIGMA STRATEGY

(Process improvement and reducing inefficiencies by optimizing tier-specific pricing and content offerings).

MEASUREMENT

(Track revenue generated from each subscription tier (e.g., Basic, Standard, Premium)).

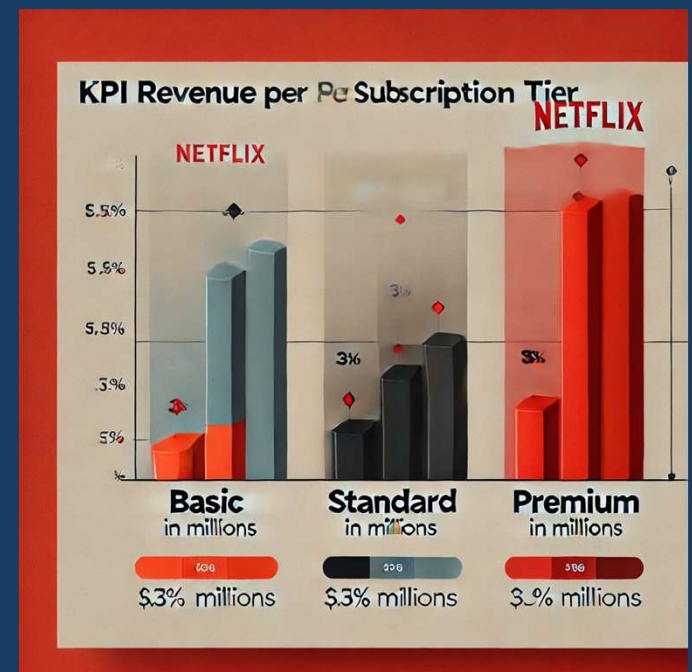
IMPORTANCE

This KPI helps Netflix identify the most profitable subscription tiers, optimize pricing strategies, and tailor content to attract and retain subscribers across tiers, ensuring sustainable revenue growth.

Cost of collecting the KPI:

Derived by aggregating data from pricing, tier-specific content delivery costs, and operational expenses, along with advanced analytics to evaluate revenue and engagement per tier.

$$\text{Revenue per Tier} = \frac{\text{Total Revenue from Tier}}{\text{Number of Units or Customers in Tier}}$$



Net Promoter Score (NPS)

Target : Improving customer satisfaction and user experience.

SIX-SIGMA STRATEGY

(Improve service quality and customer satisfaction).

MEASUREMENT

Categorize responses into Promoters (9–10), Passives (7–8), and Detractors (0–6).

IMPORTANCE

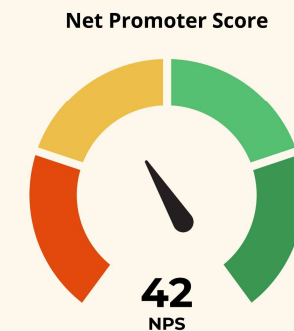
NPS shows how happy customers are, helps identify problems, and boosts loyalty by improving the user experience.

Cost of collecting the KPI:

Costs include conducting surveys and analyzing customer feedback.

$$NPS = \%Promoters - \%Detractors$$

NET PROMOTER SCORE GAUGE CHART



Detractors (0 - 6) — 59%

Passives (7 - 8) — 24%

Promoters (9 - 10) — 17%

Conversion Rate

Target :Improve the sign-up process, optimize landing pages, and enhance promotional campaigns to increase conversion rates.

SIX-SIGMA STRATEGY

(Optimize the user journey to increase sign-ups).

MEASUREMENT

Count how many visitors to the Netflix website or app sign up for a subscription, then divide that number by the total number of visitors. Multiply the result by 100 to get the percentage

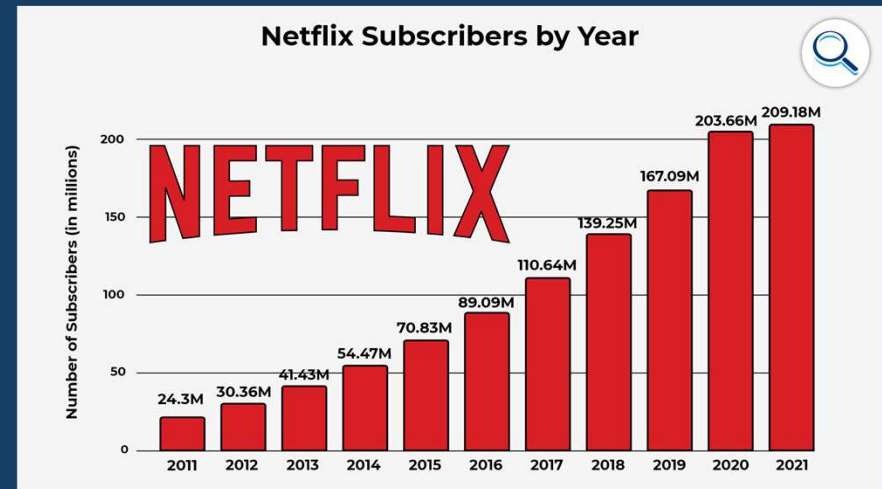
IMPORTANCE

Conversion Rate helps Netflix understand the effectiveness of its marketing and user experience in turning visitors into subscribers

Cost of collecting the KPI:

Expenses include tracking tools, analytics software, and marketing performance evaluations.

$$\text{Conversion Rate} = \frac{\text{Number of Conversions}}{\text{Number of Visitors or Interactions}} \times 100$$



Customer Retention Rate

Target :Reduce cancellations and keep more customers by enhancing the user experience and content quality.

SIX-SIGMA STRATEGY

Improve service quality and provide engaging content to keep subscribers happy and loyal.

MEASUREMENT

Calculate the percentage of subscribers at the start of a period who are still subscribed at the end of the same period.

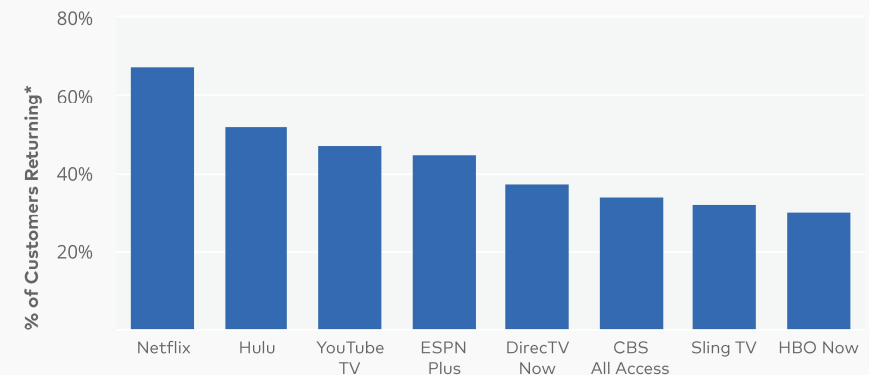
IMPORTANCE

It shows how well Netflix is maintaining its customer base, helps identify reasons for cancellations, and focuses on increasing loyalty and reducing churn.

Cost of collecting the KPI:

Includes tracking subscription data, conducting surveys, and analyzing user behavior.

Streaming Video: One-Year U.S. Customer Retention



* Mean retention across monthly cohorts from August 2014 to August 2019. Excludes annual subscribers for ESPN Plus and CBS All Access.

 **Second Measure**

$$CRR = \left(\frac{\text{Customers at the End of Period} - \text{New Customers Acquired during Period}}{\text{Customers at the Start of Period}} \right) \times 100$$

Conclusion:

Netflix exemplifies the power of data-driven decision-making. Looking ahead, Netflix is exploring innovative strategies such as AI-generated content to predict audience appeal, interactive storytelling formats like "Bandersnatch," and immersive VR experiences to redefine how audiences engage with streaming platforms. By leveraging advanced analytics and machine learning, Netflix has set the gold standard in customer satisfaction and operational excellence within the streaming industry. With targeted strategies like student discounts, family plans, and localized promotions, Netflix aims to achieve its goal of 20% subscriber growth while maintaining its leadership position in the competitive entertainment landscape.



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THANKS